

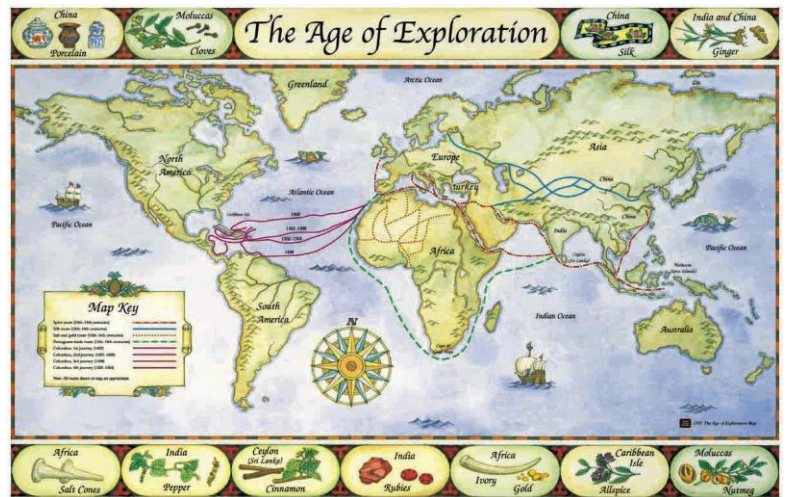
Dependency Theory

A common term used in the news and social media today is the **developing world**. This term is used to indicate countries that are less economically developed than North American or European nations. The term itself suggests that there is a process that leads to economic development, and the expectation is that eventually all countries will be industrialized.

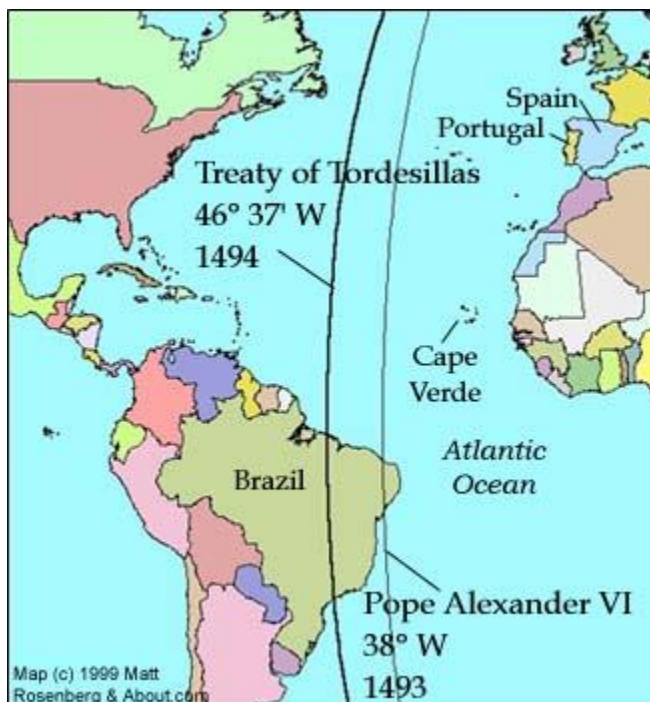
Think about it: Do you think that all countries will reach industrialization and “wealthy” status? Why or why not?

What does history have to do with the economic status of countries today?

During the **Age of Exploration** (also known as the Age of Discovery), powerful European nations created colonies on newly discovered (to them) land to find more favorable trade routes by directly finding the source of the very lucrative **spice trade** (which was then controlled by the Ottoman Empire on land-based trade routes through Southwest Asia (the Middle East). The Spanish and Portuguese rulers and merchants raced to find the source, as taking control over the spice trade would make the winner a global



power. The competition was so intense that in 1494, the Catholic Church stepped in to settle claims to the land, and the *Treaty of Tordesillas* was created to divide claim to overseas territory between the Spanish and Portuguese. A line was



drawn through the Atlantic Ocean, with the Portuguese being awarded everything to east of the line (the “old world – Africa and Asia), and Spain being awarded everything to the west of the line (the New World – of which only very little had been mapped and “discovered” at the time). Due to the position of the line, a small portion of the South American continent also fell to the east of the line, and Portugal established a colony on that land – Brazil. Spain quickly established colonies in North America and the remaining parts of South America. Other European countries were excluded from overseas claims in the Treaty, so when the English, French, and Dutch started looking for land to established colonies, they did what any up-and-coming global power would do—they ignored it.

How did colonialism work?

From the very beginning, the European countries were looking to make money and to gain global power. While there were some religious motivations behind the exploration and new settlements, missions also served as centers of government and education to bring the native populations under the control of the colonizers. These early settlers wanted to elevate their social status in a way that was not possible for them in their home countries, creating a social system structured to their aspirations. European colonialism was operated as a business, with joint public-private ventures (partnerships between governments and private investors). By law, Spanish colonies could trade *only* through designated **ports** in the colonies and in Spain, and the precious metals mined in the colonies were brought back in guarded convoys. The English, French, and Dutch granted what were effectively trade monopolies to selected companies.



These companies focused their economic efforts on commodities and products that could be sold at massive profits at home in Europe. Colonies in present day Canada (French and British) provided highly desirable furs, while colonies in present day United States, Caribbean, and South America produced agricultural commodities such as cotton, tobacco, and sugar. As these crops are very labor intensive (require many workers), and the native populations were depleted due to the introduction of European diseases and warfare, **plantation** owners turned to the centuries-old

West African slave trade and began importing Africans across the Atlantic on a massive scale, and the *Triangle Trade* was born, with European powers setting up trading posts in ports on the western coast of Africa. Millions of slaves were brought to colonies in Portuguese Brazil, Spanish South American colonies, the Caribbean, and North America. These trading posts also helped the Europeans expand their markets of goods to Africa. The white European plantation owners fought for trade monopolies to reap the maximum profits from their investments, while also establishing an extension of the “mother country’s” government to manage the land and established settlements. With the Industrial Revolution came greater need of raw materials for the Western powers’ rapidly growing factories. Colonies also provided a ready-made market for the mass produced goods made in Europe’s factories. This greater push led some colonies to revolt against the enforcement of trade monopolies (mercantilism) and taxes on goods. For example, 13 of Britain’s American colonies united in a desire for self-rule and economic ambitions of their own, leading to the American Revolution. By the turn of the 19th century, the newly independent United States quickly joined the race to expand its political and economic reach, and became an empire in its own right.

How does imperialism work and how is it different from colonialism?

While colonialism and imperialism are very similar and both mean political and economic domination of the one country over another, distinction is made between the methods and goals implied by the two terms. Colonialism brought significant numbers of permanent residents to the new land who maintained allegiance to the mother country. Colonizers sought to assimilate (convert) the natives to the culture of their European homeland, as well. **Imperialism** on the other hand, describes a foreign government's control (gained through diplomacy or military force) of the land and economic activities without significant settlement. The origins of the words themselves may provide insight to the motives behind the eras. *Colony* comes from the Latin word *colonus*, which means "farmer"; conversely, *Imperial* comes from the Latin word *imperium*, which means "command". Both terms, however, refer to the economic and political control over land by another, more powerful, country; consequently, the mother country reaped the benefits of the economic activities that occurred in the colonized lands.

What is Dependency Theory?

Dependency Theory is a term used for a collective group of sociological and economic theories which hold that economic events in history have encouraged developing countries to depend upon the support of more economically advanced countries. This dependence prevents developing nations from fully creating institutions and infrastructure necessary for their full transition into industrial nations. In a historical sense, in the **colonial period**, the then newly-industrialized colonial powers expanded into areas that were unclaimed by other colonial powers. The result was that the natural resources of less-developed nations were used to fuel the colonizer's factories. The methods used by imperial powers often involved direct military and political control, as was the case with the "Scramble for Africa".

The Age of Colonialism is over. What are the lasting impacts?

Colonialism collapsed after World War II, but its legacy continued in the form of **neocolonialism**, or economic colonialism. International finance and capitalism became the preferred methods of control over developing nations. As a result, many Less Developed Nations (LDCs) now owe developed nations a significant amount of money, and cannot shake that debt. Others suffer from a reliance on exporting natural resources and importing finished goods.

What is an example of Dependency Theory in Action?

Brazil seems to be a typical case study of dependency. Settled by colonial Portuguese, its native population was oppressed by the newcomers, and African slaves were imported to harvest sugarcane. Most people currently living in Brazil are descendants of the Portuguese settlers and African slaves. Modern Brazil is one of the world's fastest growing economies, but it has taken massive infusions of money and government intervention to make it that way. Despite the economic growth, many Brazilians (roughly one third) still live in impoverished conditions in the *favelas* (slums) connected to most major cities.

In your own words: Explain how the legacy of the colonial era impacts the distribution of economic activities today.